

Investment Committee Charter & Investment Mandate

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FIRM PROFILE

Lunar Investments is a Riyadh-based multi-strategy investment firm managing approximately **SAR 2.0 billion** in assets under management across two coordinated strategies: a public equities book trading on the Saudi Exchange (Tadawul), and a private growth-equity program investing directly in privately held companies. The firm's sector focus for both strategies is **technology and consumer**, reflecting management's view that the Kingdom's digital economy and changing consumption patterns represent the most durable multi-year growth theme available to a Saudi-domiciled allocator.

This Charter sets out the governance structure, investment criteria, risk limits, and screening policy that bind every capital-deployment decision made on behalf of the firm's investors. It is the single source of truth referenced by the firm's screening tools, investment memoranda, and Investment Committee (“IC”) deliberations.

Firm	Lunar Investments
Domicile	Riyadh, Kingdom of Saudi Arabia
Strategies	Public equities (Tadawul-listed) · Private growth equity
Sector mandate	Technology & Consumer
Assets under management	~SAR 2.0 billion
Governing document	This Charter, reviewed annually by the IC

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GOVERNANCE STRUCTURE & INVESTMENT COMMITTEE PROCESS

Investment Committee composition

The Investment Committee is the firm's final decision-making body for capital deployment. It is chaired by the Chief Investment Officer and includes the Head of Private Growth Equity, the Head of Public Equities, the Head of Risk, and one independent member. The IC convenes bi-weekly, or ad hoc when a live opportunity requires a timely decision.

The deal pipeline: three governed stages

Every private growth-equity opportunity — whether sourced inbound or identified through market screening — passes through three sequential stages, each ending in an explicit human decision gate. No stage advances automatically.

1. Screening

A fast go/no-go filter against this Charter's mandate: sector, ticket size, stage, Shariah pre-screen, concentration impact, and red-flag checks. Output is a scorecard with a recommendation.

Human gate: advance to analysis

2. Analysis

Deep-dive valuation, unit economics, scenario modelling, and quantified risk assessment. Produces the analyst's investment memorandum.

Human gate: analyst review

3. Investment Committee review

The IC reviews the completed analysis, compares it against other live opportunities and the mandate limits in this Charter, and votes. Any advisory tooling used in preparation is explicitly non-decisional — it may rank, compare, and flag sensitivities, but the Committee alone decides.

Human gate: IC vote

Human gates — a summary

- **Gate 1:** a human analyst decides whether a screened opportunity proceeds to full analysis.
- **Gate 2:** a human analyst reviews and signs off every deliverable before it reaches the Committee.
- **Gate 3:** the Investment Committee — humans only — votes to approve, defer, or reject.

INVESTMENT CRITERIA

The following criteria apply to every private growth-equity opportunity considered by the firm. An opportunity that fails any criterion below does not proceed past screening without an explicit IC waiver.

Criterion	Mandate
Sector	Technology & Consumer only
Ticket size	SAR 20,000,000 – SAR 60,000,000 per investment
Financing stage	Series A through Series C
Target holding period	3 – 5 years
Domicile / operating geography	Kingdom of Saudi Arabia, or GCC operations with a Saudi nexus
Screening requirement	Shariah pre-screen mandatory before any ticket is issued

Sector definition

“Technology” covers software, marketplaces, fintech infrastructure, and logistics/supply-chain technology. “Consumer” covers consumer internet, retail technology, and consumer-facing platforms serving the Saudi and broader GCC market. Real estate, industrials, energy, and healthcare delivery are outside the mandate and are declined at screening regardless of financial merit.

Ticket sizing rationale

The SAR 20–60M ticket band reflects the firm's target ownership stake (typically 8–15% at entry) at Series A–C valuations observed in the Saudi and broader GCC growth-equity market, while preserving enough capital across the portfolio to satisfy the concentration limits set out in the Risk Limits section of this Charter.

Stage rationale

Series A–C is the window in which a company has demonstrated product-market fit and early unit economics but has not yet reached the scale (or valuation) where public-market or late-stage growth capital dominates pricing. This is where Lunar's underwriting discipline adds the most value.

RISK LIMITS

These limits are hard constraints enforced at both entry and on an ongoing basis. A limit breach at entry requires an explicit IC waiver; a limit breach discovered post-investment triggers a mandatory risk review at the next IC meeting.

Limit	Threshold
Minimum underwritten IRR (hurdle rate)	15% at entry, base case
Single-name concentration cap	10% of AUM, at cost, per portfolio company
Sector concentration cap	10% of AUM, at cost, per sector bucket (Technology & Consumer combined for the private book)
Liquidity reserve	Minimum 5% of AUM held in liquid public instruments at all times
Maximum portfolio drawdown tolerance	20% peak-to-trough (public book, trailing 12 months) before a mandatory risk review

Hurdle rate

No private growth-equity commitment may be underwritten below a 15% base-case IRR. This is the minimum return the mandate demands before capital is considered investable; it is not a target — deals that only clear the hurdle by a narrow margin are expected to carry commensurately tighter risk controls.

Concentration limits

The 10% single-name and 10% sector caps are calculated *post-deal*, i.e. inclusive of the proposed new ticket, against total firm AUM at the time of the screening decision. A proposed investment that would push either measure above 10% is flagged at screening as a concentration warning; it does not automatically fail, but it requires explicit IC acknowledgement of the mandate breach before the deal may advance.

Liquidity and drawdown

The liquidity reserve exists to ensure the firm can meet capital calls and operating needs without forced selling of private positions. The drawdown tolerance applies to the public equities book, which is more readily marked and monitored on a continuous basis.

SHARIAH SCREENING POLICY & EXCLUSION CHECKS

Shariah pre-screen (AAOIFI-style methodology)

Every opportunity — public or private — is subject to a rules-based Shariah pre-screen before capital may be committed. The methodology mirrors the AAOIFI / Tadawul screening approach used across the Saudi market and rests on two quantitative ratios plus a qualitative business-activity test.

Test	Threshold
Business activity	Core activity must be Shariah-permissible (excludes conventional banking/insurance, alcohol, gambling, conventional financial services, and similarly excluded activities)
Interest-bearing debt ratio	Interest-bearing debt < 33% of market capitalisation (or, for private companies, of the post-money valuation used at screening)
Non-permissible income ratio	Income from non-permissible sources < 5% of total revenue

A company failing the business-activity test is excluded outright. A company failing either quantitative ratio is flagged and referred to the Committee for a purification-and-waiver discussion rather than an automatic exclusion, consistent with standard AAOIFI practice for close-call ratios.

Red-flag & exclusion checks

Alongside the Shariah pre-screen, every opportunity is run through a standard set of red-flag checks before it may advance past screening:

- **Sanctions screening** — founders, directors, and beneficial owners checked against relevant sanctions lists.
- **Conflicts of interest** — cross-check against existing portfolio holdings, employee relationships, and known competitive overlaps.
- **Related-party exposure** — disclosure and review of any related-party transactions or ownership links to Lunar principals or existing portfolio companies.
- **Litigation & regulatory history** — material pending litigation or regulatory action against the company or its founders.

A clean pass on all four checks is required before an opportunity may advance to the analysis stage; any flag is escalated to the Head of Risk for a documented decision.

لونار للاستثمار شركة استثمارية متعددة الاستراتيجيات مقرها الرياض، تدير أصولاً بقيمة تقارب 2.0 مليار ريال سعودي عبر محفطتين متكاملتين: محفظة أسهم عامة مدرجة في السوق المالية السعودية (تداول)، ومحفظة أسهم نمو خاصة تستثمر مباشرة في شركات غير مدرجة. يتركز تفويض الاستثمار في قطاعي التقنية والاستهلاك.

تحدد هذه الوثيقة معايير الاستثمار: حجم التذكرة بين 20 و60 مليون ريال سعودي، مراحل التمويل من السلسلة A إلى السلسلة C، وفترة احتفاظ مستهدفة من 3 إلى 5 سنوات.

تفرض الوثيقة أيضاً حدوداً للمخاطر: معدل عائد داخلي أدنى 15% عند الدخول، وسقف تركّز 10% من إجمالي الأصول لكل اسم استثماري ولكل قطاع على حدة، محسوباً بعد إتمام الصفقة المقترحة.

يخضع كل استثمار محتمل لفحص شرعي مسبق وفق منهجية تشبه معايير أيوفي: يجب ألا يتجاوز الدين الربوي 33% من القيمة السوقية، وألا يتجاوز الدخل غير المسموح به 5% من إجمالي الإيرادات، إضافة إلى فحوصات العقوبات وتضارب المصالح والأطراف ذات العلاقة.

تمر كل فرصة استثمارية بثلاث مراحل محكومة — الفرز، التحليل، ومراجعة لجنة الاستثمار — تنتهي كل مرحلة منها ببوابة قرار بشرية صريحة. أي أداة تحليلية مساعدة تبقى استشارية بحتة، ولا تتخذ القرار النهائي بأي حال؛ فالقرار يبقى دائماً بيد اللجنة.